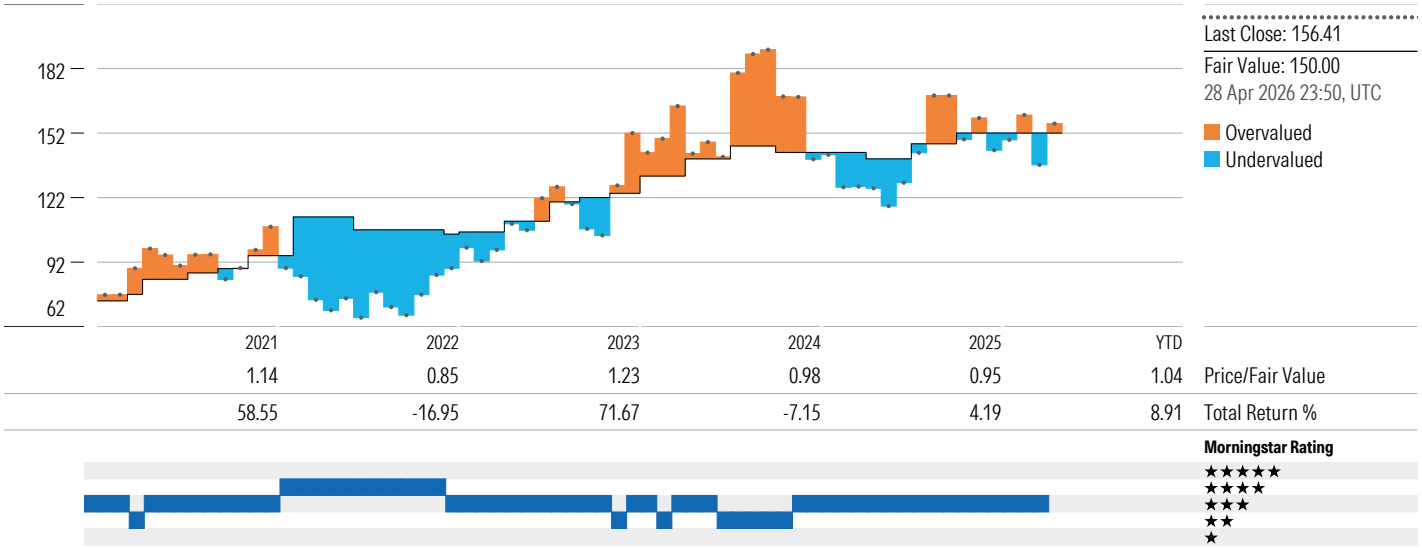
# D.R. Horton Inc DHI ★★★ 28 Apr 2026 23:52, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 156.41 USD<br>28 Apr 2026 | 150.00 USD<br>28 Apr 2026 23:50, UTC | 1.04 | 44.35 USD Bil<br>28 Apr 2026 | None | Mid Value | High | Standard | 28 Apr 2026 05:00, UTC |

**Price vs. Fair Value**




Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 28 Apr 2026 23:50, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

## D.R. Horton Is Well Positioned Amid a Difficult Housing Market Environment

**Business Strategy & Outlook** Suryansh Sharma, Director, 28 Apr 2026

D.R. Horton is the largest US homebuilder, with an extensive geographic footprint, ample land supply, and wide product breadth. The homebuilder serves a diverse range of homebuyers, including entry-level, move-up, higher-end, and active adult. Recognizing the growth opportunity from price-conscious first-time buyers, D.R. Horton launched Express Homes, its entry-level product, in 2014. D.R. Horton's focus on affordable price points has paid off, in our view, and homes priced at or below $350,000 now account for over 50% of delivered homes.

We forecast single-family housing starts to remain under pressure in 2026. Uncertain US global trade policy, high mortgage rates, and geopolitical turmoil have weighed on consumer and homebuilder confidence. The 2025 spring selling season was disappointing, and the new homes market continues to cope with an above-average supply of new unsold homes. We had hoped that homebuilder sales incentives would continue to drive a strong sales pace, shrinking the supply of completed unsold homes, even as homebuilders modestly increased construction starts. However, considering our more cautious near-term economic outlook, we now expect homebuilders to start fewer homes this year and focus on reducing unsold inventory. On the bright side, Morningstar projects the average 30-year fixed rate mortgage will decline to 5.0% by 2028. Lower mortgage rates should buoy demand for new homes, even in a slow economy.

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| Sector | Industry |
|---|---|
| Consumer Cyclical | Residential Construction |

**Business Description**

With operations in 126 markets across 36 states, D.R. Horton is the leading homebuilder in the United States. It mainly builds single-family detached homes (87% of home sales revenue) and offers products to entry-level, move-up, luxury buyers, and active adults. The company offers homebuyers mortgage financing and title agency services through its financial services segment. D.R. Horton's headquarters are in Arlington, Texas, and it manages six regional segments across the United States.

Our longer-term outlook for new residential construction remains constructive. We continue to see a need for more homes in the US, and we project annual housing starts will exceed 1.5 million units by 2030, amid healthier economic conditions.

We expect the firm to maintain healthy sales volume in the upcoming years, with margins being a shock absorber. While we expect a challenging operating environment for homebuilders over the next two years, we believe D.R. Horton's scale, affordable price point, and excellent balance sheet will help the company outperform the homebuilding industry.

**Bulls Say** Suryansh Sharma, Director, 28 Apr 2026

- The US housing market is undersupplied. This supply/demand imbalance will take years to address and should support homebuilder pricing power.
- There is significant long-term demand for entry-level housing as the millennial generation forms households. D.R. Horton's Express brand is positioned to capitalize on this underserved market.
- D.R. Horton's strategic relationship with publicly traded land developer Forestar and its property rental businesses should help fuel growth. The firm's excellent balance sheet should enable it to weather severe downturns in the housing market.

**Bears Say** Suryansh Sharma, Director, 28 Apr 2026

- High home prices, elevated interest rates, and economic uncertainty could cause a meaningful and protracted slowdown in housing demand. Muted demand, along with elevated new homes inventory, can lead to significant margin pressure.
- Underemployment and onerous student debt obligations could limit the demand potential from younger generations.
- Constrained land supply and elevated labor and material costs, especially if restrictive immigration policies are enacted, could limit D.R. Horton's production and/or profitability on delivered homes.

**Economic Moat** Suryansh Sharma, Director, 28 Apr 2026

We assign a no-moat rating to D.R. Horton as we believe the firm has limited benefits from its scale and has no significant cost advantages. US homebuilders operate in a highly cyclical, competitive, and capital-intensive industry that makes it challenging to earn consistent economic profits over the business cycle. The market has been consolidating but remains highly fragmented with intense competition. Homebuyers looking for new homes in a specific market have many options to choose from, and pricing is often the primary lever for their decisions. The industry is characterized by a lack of maintained product differentiation, which translates into minimal pricing power for homebuilders. Due to this dynamic, brand loyalty among homebuyers is virtually nonexistent, leading to homebuying decisions being highly price sensitive. Scale-based cost advantage is the most relevant moat source in the homebuilding industry. Large homebuilders have an advantage over small-scale (local mom-and-

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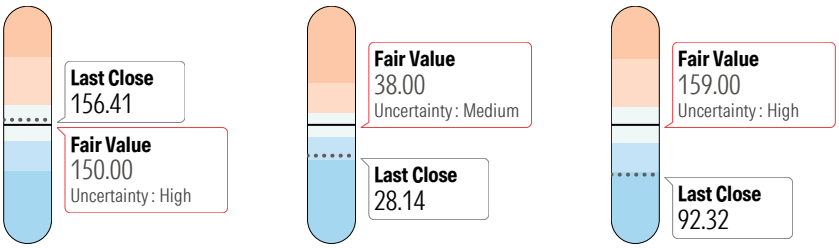
## Competitors




| | D.R. Horton Inc DHI | Invitation Homes Inc INVH | Lennar Corp Class A LEN |
|---|---|---|---|
| Economic Moat | None | None | None |
| Currency | USD | USD | USD |
| Fair Value | 150.00 28 Apr 2026 23:50, UTC | 38.00 6 Mar 2026 19:21, UTC | 159.00 18 Jun 2025 16:54, UTC |
| 1-Star Price | 232.50 | 51.30 | 246.45 |
| 5-Star Price | 90.00 | 26.60 | 95.40 |
| Assessment | Fairly Valued 28 Apr 2026 | Undervalued 28 Apr 2026 | Undervalued 28 Apr 2026 |
| Morningstar Rating | ★★★28 Apr 2026 23:52, UTC | ★★★★★27 Apr 2026 22:50, UTC | ★★★★★27 Apr 2026 22:33, UTC |
| Analyst | Suryansh Sharma, Director | Kevin Brown, Senior Equity Analyst | David Whiston, Senior Equity Analyst |
| Capital Allocation | Standard | Standard | Standard |
| Price/Fair Value | 1.04 | 0.72 | 0.59 |
| Price/Sales | 1.41 | 6.12 | 0.71 |
| Price/Book | 1.92 | 1.75 | 1.05 |
| Price/Earning | 14.96 | 39.27 | 14.72 |
| Dividend Yield | 1.07% | 4.33% | 2.14% |
| Market Cap | 44.35 Bil | 16.87 Bil | 22.74 Bil |
| 52-Week Range | 114.17—184.55 | 24.25—35.80 | 83.03—144.24 |
| Investment Style | Mid Value | Mid Blend | Mid Value |

pop firms) builders in terms of their ability to acquire regional builders and capture market share quickly. However, we believe the market, especially in densely populated metropolitan areas, is largely saturated, which will make it harder for builders to grow their market share as quickly in the future.

We do not have confidence in the firm's ability to generate excess returns over the next 10 years, given the current industry dynamics. The industry has consolidated significantly over the past few decades, and the competitive positioning of the largest players in the industry has improved on a relative basis, but the core characteristics of the industry remain unconducive to moats. D.R. Horton's scale will benefit the company over the next decade, and we expect the firm to continue gaining market share, but we would like to see significantly more consolidation and stronger evidence of volume-based scale advantages before we reconsider our moat rating.

Industry Dynamics: A Consolidating but Still Fragmented Industry, Leading to High Competition

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America's homebuilding industry remains highly fragmented despite considerable consolidation in the past four decades. As of 2025, the top 10 builders captured approximately 32% of market share as a percentage of total homes completed, with both D.R. Horton and Lennar still contributing single-digit figures. This fragmentation is driven by the highly local nature of residential construction, where homebuilders must respond to local demand and supply while also navigating complex zoning ordinances, land-use regulations, and building codes. The industry's low barriers to entry allow many small homebuilders to compete, and we estimate that over 70,000 homebuilders operate in the US.

Despite high fragmentation, the industry has shown considerable consolidation since the early 2000s, with the top 10 builders increasing their share by around 16 percentage points since 2012. In part, this consolidation has been driven by a fight to capture share in areas of high existing demand, evidenced by a doubling of top 10 builder share within metro markets since 2005. The US Office of Management and Budget defines a metro area as an urbanized city center with a population of over 50,000 and its surrounding economic area. A significant percentage of single-family homes are built in metro areas, and considering the 79% average share of the top 10 builders in 2025, we believe that the runway for further consolidation within these regions is relatively short. Instead, we expect competition to increase further as metro areas remain highly desirable for large homebuilders. In response, we think homebuilders will look to develop communities further from city centers; permit issuance in large metro areas has decreased by about 4% since 2016, and we expect this trend to accelerate as competition for land inside cities increases. Nevertheless, we believe the industry's broader rotation toward smaller lot sizes across all geographies shows that competition for prime lots will continue.

Against this backdrop, it is unsurprising that large homebuilders have turned toward acquisition, with D.R. Horton acquiring more than 10 regional builders over the past decade. Notably, these acquisitions have taken place nationally, across nine states, with each acquired builder maintaining a significant metro-area focus—this reinforces what we see as a competitive bid for finite demand. We believe that large homebuilders will continue to use mergers and acquisitions as a means to enter new markets because acquiring an existing builder grants immediate access to the new market with less risk than a greenfield startup operation. These acquisitions are a way for D.R. Horton to acquire land and land options from smaller players and strengthen its existing platforms in local markets.

Scale has allowed the top two builders (D.R. Horton and Lennar) to grow significantly faster than their peers in the top 10, and incremental market share gains are partly dependent on frequent acquisitions across new markets. Furthermore, developing relationships with subcontractors and navigating municipal zoning regulations requires years of local expertise, making acquisition a more efficient path for large homebuilders seeking entry into new markets. The homebuilding market remains highly fragmented and intensely competitive, thereby supporting our no-moat rating.

Homebuilders Lack Pricing Power With the End Product Being Largely Undifferentiated

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Due to their operation within highly competitive environments, we believe homebuilders are price takers and therefore lack significant pricing power. By comparing the average sale price of new homes nationally with homes sold by Lennar and D.R. Horton, we see that large homebuilders adjust their prices in line with the market. Moreover, we believe that affordability is a key driver of home prices, and this can be seen through the decrease in D.R. Horton's average selling price during periods of high mortgage rates. In addition to simple price cuts, homebuilders often turn to incentives (like lower mortgage rates) to maintain a consistent volume, which compresses margins even further during downcycles. For example, D.R. Horton increased its mortgage rate buydowns in 2025 as the housing market weakened, such that 73% of customers were offered incentives, with rates being offered as low as 3.99%. For context, the average mortgage rates in the US were around 6.6% in 2025. Lower monthly payments due to reduced mortgage rates make the home more affordable for buyers, but it comes at the expense of a sizable hit to the firm's underlying profitability.

We believe D.R. Horton's lack of pricing power stems from the product being largely undifferentiated. The firm has four main brands—Express, D.R. Horton Tradition, Emerald, and Freedom—each targeting distinct segments of the homebuyer market. Express targets price-conscious entry-level buyers; D.R. Horton Tradition targets first-time buyers and move-up buyers; Emerald targets the higher end of the market; and Freedom targets active adults. Although we believe the company's brand recognition can drive increased foot traffic, we think it is extremely challenging for any homebuilder to differentiate itself through brand alone. Instead, we see location, quality, and pricing as critical drivers for consumers. The firm's competitors can also enter new markets and replicate successful product and land acquisition strategies with relative ease, potentially diminishing returns for incumbents. We see few barriers preventing builders from replicating successful product and land acquisition strategies, especially for public companies with the scale, experience, and capital availability to do so.

Outside of brands, one way homebuilders could gain from pricing is by electing to operate within favorable markets with the greatest price appreciation. Areas where home prices are increasing often have a supply/demand mismatch, and homebuilders that focus their operations within these regions can potentially earn higher returns. In other words, an argument can be made that large homebuilders have an informational advantage in selecting where to acquire land and build houses. For D.R. Horton, we found that this is not the case, as the firm's exposure to price appreciation is not significantly different from the national average. In other words, we do not think D.R. Horton has any information advantage over its peers, as it does not close more homes in areas where there is outsize demand.

Homebuilding Is a Highly Cyclical Industry With Big Boom and Bust Cycles

The homebuilding industry is highly cyclical, with economic downturns, such as the global financial crisis (2008) and thrift crash (1980s), driving significant slowdowns in housing starts. Cyclicality in the

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industry is a function of many factors, such as interest rates, macroeconomic conditions, supply/demand imbalance, demographic shifts, credit availability, and so on. Having said this, the most important factors influencing the housing cycle are interest rates and the availability of capital.

Over 70% of American homeowners finance their home purchase through a residential mortgage. Since the 1930s, the introduction of a fixed-rate 30-year mortgage, backed by government securitization (such as Freddie Mac), has created a stable lending environment that makes housing accessible to the average American. However, due to its high reliance upon long-term financing, the homebuilding business reacts strongly to the variable interest rate environment. We believe that housing starts are highly dependent upon consumers' sentiment about the housing market, which, in turn, is influenced by the interest rate environment. During high rates, we believe that potential buyers are willing to ride the wave until interest rates are lower, rather than locking in a higher rate, creating a cyclical homebuilding industry that is dependent on macroeconomic conditions. In recent years, a long-term housing affordability crisis has strengthened this pattern, as national housing prices have increased at about a 4% CAGR since 1991. We expect this trend to continue into the foreseeable future.

Through an economic lens, the industry's highly fragmented nature further exacerbates this cyclicality. During downturns, smaller homebuilders that do not have strong relationships with banks can feel significant pressure when demand for housing decreases. In response, many of these small firms may trigger price wars to drive up volume, despite suffering poorer margins. Irrational behavior, such as aggressively pushing incentives to drive better community absorption rates or overbidding on land deals, can have adverse repercussions on the entire industry. Due to the lack of pricing power across the industry, these price wars can exacerbate downcycles even for the largest of homebuilders. On the other hand, during good times, low barriers to entry can fuel the inflow of new entrants when returns are high, thereby lowering returns across the industry. These are all properties of highly competitive industries, and without significant scale or pricing power, we believe that D.R. Horton is not immune to this cyclicality.

Capital Intensity Is Evolving Within the Industry; From Owning Land to Optioning Land

The slowest part of the homebuilding process is land entitlement and municipal zoning. Across the US, this entitlement process varies significantly by state, with some requiring as little as four months on average, while others take as long as 30 months. As a cyclical industry, housing demand can swing drastically over short periods of time, requiring homebuilders to construct homes quickly in response to upcycles. In the early 2000s, this fear-of-missing-out made large homebuilders hold 5-6 years of land in reserve, allowing them to respond to demand swings effectively. This business model provided a strong argument for scale within the homebuilding market, where larger firms with better relationships with banks and stronger capital structures were able to buy large swaths of open land. However, keeping large amounts of land on the balance sheets can significantly lower returns on invested capital, or

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ROICs, as capital is locked up in land parcels, whose market value has grown at a relatively low rate.

More recently, homebuilders have looked toward controlling land through purchase agreements—these are options contracts that grant homebuilders the right, but generally not the obligation, for the purchase of land at a specified price on a future date. While these contracts boost ROICs, the option contracts charge a premium over the underlying asset, and therefore, the cost of acquisition, on average, is expected to be higher than buying raw land itself. In order to maintain these options, homebuilders are generally required to make nonrefundable deposits that can range from 5%-15% of the underlying land value. These deposits would be written off if the option to acquire land is not exercised.

Due to this dynamic, any extended drawdowns in land prices could lead to significant options write-offs that are unrecoverable, whereas holding land during downcycles still presents an opportunity for recovery, as seen during the global financial crisis. However, we believe that optioning land can somewhat reduce the cyclicality of the homebuilding business. During the global financial crisis, a significant devaluation in land prices triggered over $4 billion in accumulated impairments for D.R. Horton, leading to significant value destruction. In comparison, D.R. Horton holds $2.3 billion of land purchase agreements on an underlying asset value of $26 billion as of the end of 2025. In our opinion, using options contracts caps the downside risks of controlling large amounts of land while still allowing the firm to respond to swift changes in housing demand.

Despite the risk advantages, we believe that land optioning has reduced the scale advantage of large homebuilders by lowering barriers to entry. By using options contracts, even small homebuilders can potentially acquire land effectively without requiring large credit facilities. For instance, as per our calculations, land controlled through options was around twice the amount of land on the balance sheet for the smaller homebuilders acquired by D.R. Horton since 2014. Large and medium-sized builders in the industry controlled significantly less land through options compared with this figure.

Additionally, as demand for options increases, we believe that contracts will become increasingly expensive. With the entire industry moving toward optioning land, competition will increase for scarce land resources, and we do not think that option prices will be value-accretive. This is evidenced in the fact that D.R. Horton's earnest money deposits as a percentage of underlying land value have more than doubled since 2015, and we expect this trend to continue. We believe that land optioning reduces outsize cyclical downside risks, provides better capital efficiency, and improves free cash flow conversion. Having said this, the strategy has its disadvantages as well, and we believe that it compresses industrywide margins, assuming everything else is equal. While players like NVR have successfully executed this land-light strategy in the past as it gained share, the structural shift toward this strategy throughout the industry squeezes material value creation opportunities through favorable pricing agreements.

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Scale Does Not Provide a Significant Cost Advantage

We believe that the decentralized structure of the homebuilding industry, across both small and large firms, makes it very challenging to gain any cost advantage. Across the US, different municipalities have vastly different land entitlement and zoning restrictions, making homebuilding a highly local task. As a result, both D.R. Horton and Lennar, despite their national scale, hire subcontractors to manage local building operations. Similar to the homebuilding business, the market for subcontractors is highly competitive due to low barriers to entry, with approximately 6,100 subcontractors in the City of Chicago alone. Subcontractors are often selected by homebuilders through a bidding process, with the lowest contract price winning the bid, and we believe this makes the subcontracting business one of price taking, thereby standardizing rates for homebuilders that have an adequate scale. Additionally, we believe that the competitive bidding process employed by homebuilders optimizes for the cheapest possible contractor, rather than the development of long-term relationships, therefore preventing larger-scale homebuilders from gaining any significant volume discounts on labor. Another way larger homebuilders could optimize labor costs is through a reduction in cycle times, but we believe that large and small homebuilders take the same amount of time to build homes on average, despite recent efforts for improvement.

While the majority of homebuilders spend the bulk of their costs on subcontracting work, up to 25% is also applied toward raw materials. We believe larger homebuilders do gain from volume discounts on materials such as timber, concrete, and home appliances, but we also think that most publicly listed builders benefit from similar discounts, preventing large players such as D.R. Horton from gaining any advantage. Overall, these arguments, regarding both labor and material costs, explain why size shows little correlation with margins within the homebuilding industry. Many small and large homebuilders have sought to increase the efficiency of homebuilding through technological advancement, including 3D printed houses and prefabrication, which could potentially reduce costs in the long term. We believe that D.R. Horton will not materially benefit from these advancements for two reasons: first, the firm has not announced any notable technological improvements for its homebuilding process and remains committed to the traditional stick-built model, and second, we are highly skeptical about the wide-scale implementation and adoption of prefabrication and 3D printing across homebuilder markets within the next 10 years.

Furthermore, we believe that scale does not have a material influence on the cost of land acquired by homebuilders. Land is a highly local and fragmented asset, and, in our opinion, land cannot consistently be bought by homebuilders at significant discounts to its market value. We believe that land acquisition will remain highly competitive as homebuilders continue to fight aggressively for finite space within already saturated metro areas.

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# D.R. Horton Inc DHI ★★★ 28 Apr 2026 23:52, UTC

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|---|---|---|---|---|---|---|---|---|
| 156.41 USD<br>28 Apr 2026 | 150.00 USD<br>28 Apr 2026 23:50, UTC | 1.04 | 44.35 USD Bil<br>28 Apr 2026 | None | Mid Value | High | Standard | 28 Apr 2026 05:00, UTC |

D.R. Horton also provides financing and underwriting services under its wholly owned subsidiary, DHI Mortgage. We believe DHI Mortgage provides competitive mortgage rate buydowns, closing assistance, and 0% down options in select markets, which have helped to grow the number of home closings that are financed in-house, but we see no significant cost advantages over peers. Moreover, with over 80% of D.R. Horton customers already financing through DHI Mortgage, we do not see much runway for further expansion. We see the home financing business as highly competitive and do not believe that DHI Mortgage benefits from an economic moat. Instead, we see financial services revenue as highly reliant on the core homebuilding business, which we believe does not benefit from a moat, either.

Environmental, Social, and Governance Risk:

D.R. Horton is exposed to several environmental, social, and governance risks, including product governance, carbon and other emissions, effluents and waste, and human capital. However, we do not believe these risks could result in material value destruction.

Product quality issues do arise in the homebuilding industry (for example, construction defects); however, such incidents are generally confined to relatively few homes and are usually remedied via homebuilder, subcontractor, or manufacturer warranties. Warranties and prompt remediation can reduce reputational risk from such events, while insurance policies and contractor indemnification can limit financial losses. D.R. Horton is not immune to the human capital issue that has plagued the homebuilding industry. There's been a shortage of skilled construction labor for some time, which has been exacerbated by an aging workforce. The labor shortage has increased labor costs for homebuilders and can extend the length of time it takes to build a home. That said, D.R. Horton can leverage its superior scale to attract and retain subcontractors. We consider the financial impact of a persistent labor shortage in our base-case scenario.

Conclusion:

D.R. Horton does somewhat benefit from its scale; however, the advantages of superior scale are not enough to compensate for the structural no-moat characteristics of the homebuilding industry. We use a return on invested capital calculation to determine whether a company has shown or is forecast to have the characteristics of an economic moat. After adjusting the ROIC calculation to include impairments from the previous real estate downcycles, we calculate that over the past 15 years, D.R. Horton has averaged an adjusted ROIC that has been almost on par with its 10% weighted average cost of capital, or WACC.

We project midcycle ROICs for the firm to be around 200 basis points higher than its WACC. The projected ROICs have partly been impacted by the shift toward optioning of land rather than owning land, which theoretically reduces invested capital. For us to award a moat, we need quantitative and qualitative evidence that supports a moat rating. In the case of D.R. Horton, we have some quantitative

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evidence; however, we are not currently confident enough that the qualitative sources of competitive advantage will lead to durable excess returns on capital to justify a narrow moat rating for the company.

**Fair Value and Profit Drivers** Suryansh Sharma, Director, 28 Apr 2026

We are slightly decreasing our fair value estimate to $150 per share from $152 per share after incorporating the latest results. Our fair value estimate equates to 14.5 times our adjusted EPS estimate for 2026 and about 1.7 times our estimate of tangible book value per share for 2026. Our weighted average cost of capital for the firm is 10.0% based on a cost of equity of 10.3%, a 24.5% long-term tax rate, and a 95% equity weighting.

Our revenue growth projections are based on our US housing demand forecast, along with D.R. Horton's market share and average selling price assumptions. We forecast D.R. Horton to increase consolidated revenue at about a 4.2% compound annual growth rate, or CAGR, through 2035. We expect single-family housing starts to rebound to over 1.1 million units by 2029 as the housing market recovers and starts to remain above 1.05 million units on a midcycle basis. We expect D.R. Horton to continue to gain market share and project its share of home sales to reach 15% by 2035 from about 13% in 2025, due to its strong position in the entry-level market and ability to acquire prime land through its scale. This results in a 3.2% CAGR for homes closed over the next decade. We assume roughly 1.2% ASP growth through 2035 (compared with 2025) due to a continued mix shift to lower-priced homes and moderating new home prices in 2025-26. We model D.R. Horton's 2026 delivered home ASP to be about 5% lower than the 2022 peak, with low-single-digit price appreciation thereafter.

D.R. Horton and other homebuilders enjoyed robust pricing power between 2020 and the first half of 2022, which resulted in elevated gross profit margins. Indeed, D.R. Horton's home sales gross margin reached nearly 29% in 2022 compared with 20.7%, on average, between 2016 and 2020. However, more recently, D.R. Horton, along with the homebuilding industry, has increased sales incentives and selectively lowered base home prices to improve affordability and support a steady sales pace. D.R. Horton's gross margin moderated to 23.5% in 2023-24 and slipped to 21.6% in 2025. We project gross margin will fall to 20.0% in 2026 as even more incentives and pricing actions will be needed to attract buyers in a sluggish housing market. However, we see D.R. Horton's home sales gross margin improving to 23% by 2030 as mortgage rates normalize and economic conditions improve. Over the longer term, we expect D.R. Horton's gross margin to migrate closer to 22% on a midcycle basis due to greater competition from the resale market (as existing-home sales normalize), with little relief in labor and land costs. Moreover, we think that increased competition for prime real estate within metro areas, along with D.R. Horton's continued mix shift to higher-priced optioned land, could also weigh on gross margins. Notably, our home sales gross margin figures are inclusive of interest expense, and our model reclassifies interest expense from cost of goods sold to interest expense.

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Selling, general, and administrative expenses as a percentage of home sales revenue increased 40 basis points in fiscal 2024 to 7.5% and another 80 basis points in 2025 to 8.3%. We think this ratio will remain at or above 8% in 2027 due to the weak housing market and the inherent operating leverage within the business. But over the long run, we expect revenue growth, share gains, and efficiency improvements to unlock operating leverage, reducing SG&A expenses as a percentage of home sales. We model this ratio to average approximately 7.8% over the next 10 years. In comparison, this ratio averaged 9.1% during the five years before the pandemic.

Homebuilder valuations based on a discounted cash flow model are very sensitive to inventory (land, work in progress, and capitalized construction costs) assumptions. For 2026 and 2027, we have modeled the inventory/homes sales revenue ratio as 80% and 76% respectively, driven by a continuation of current housing and rental demand trends. Longer term, we assume that D.R. Horton's inventory as a percentage of home sales revenue will decrease because the firm will remain committed to a lighter land strategy. Therefore, we estimate a midcycle inventory/home sales revenue ratio of approximately 72%. Our inventory assumptions also include contributions from Forestar's land development and D.R. Horton's rental operations.

We use a three-stage DCF model for valuation, with the first stage being explicit forecast years. The second and third stage assumptions within our DCF model imply a terminal EV/ EBIDTA multiple of 7.8 times.

**Risk and Uncertainty** Suryansh Sharma, Director, 28 Apr 2026

We assign D.R. Horton a High Morningstar Uncertainty Rating.

The most substantial risk the company faces is a downturn in the US housing market. In general, housing downturns have resulted in industrywide declines in sales, gross margin contraction, and increased inventory impairment charges. The financial impact can be even more pronounced if there is a swift and significant drop in housing demand because homebuilders have less time to adjust to a revised demand outlook. While the global financial crisis was an extreme cycle, the housing market has a long history of booms and busts.

D.R. Horton builds speculative homes to compete with existing home sales and meet anticipated future housing demand. Although this tactic can be effective for maximizing returns in a healthy housing market, the timing of projected cash flows can be uncertain, and speculative homes are ripe for impairment charges if the housing market quickly deteriorates.

The firm has increasingly been moving toward controlling land through options rather than outright owning it. Land optioning lowers cyclical risk, improves capital efficiency, and boosts free cash flow, but the strategy also compresses margins, assuming everything else is equal. It also carries the risk of

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**D.R. Horton Inc** DHI ★★★ 28 Apr 2026 23:52, UTC

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unrecoverable write-offs in prolonged downturns, unlike owned land, which may recover in value.

Immigration and tariff policies are newer uncertainties for US homebuilders. Owing to legislative obstacles, legal challenges, and obstruction from state and local governments, we think mass deportations are unlikely, and we expect moderate immigration tightening during the Trump administration. We also estimate that imported goods account for less than 10% of the total value of all goods used to construct a new home. Despite industry rhetoric from building product manufacturers, we think the value chain will absorb some of these added costs as homebuilders and home improvement retailers have significant buying power.

**Capital Allocation** Suryansh Sharma, Director, 28 Apr 2026

We assign D.R. Horton a Standard Capital Allocation Rating, reflecting our assessment of a sound balance sheet, fair investment, and appropriate shareholder distributions.

With a net debt/total capital ratio of 11.0%, comfortable interest coverage, and adequate liquidity, D.R. Horton has one of the strongest balance sheets among public homebuilders, which has allowed it to reinvest and return capital to shareholders.

Management applied lessons from the housing crisis to refine its land acquisition. The combination of smaller land deals and greater use of land options has improved D.R. Horton's ROICs while reducing its balance sheet risk. The firm has consistently outperformed its 20% pretax homebuilding return on inventory target since 2020. Strong pricing power in fiscal 2021-22 contributed to its outsize ROIC, but we don't think this level of pricing power is maintainable over the long run. Investment in its entry-level brand, Express, has paid off, outperforming initial expectations and now accounting for a meaningful number of homes sold. The shift toward an asset-light land acquisition strategy and its increased focus on more affordable products is not unique; in our view, a large share of the industry has followed the same path with varying degrees of success.

We think that management's recent acquisition strategy has been sound. Since 2014, D.R. Horton has acquired nine small to medium-sized homebuilders across eight different states. As a capital-intensive business, we think the firm's primary objective has been to buy land and options contracts, and by acquiring regional homebuilders, D.R. Horton paid near book value for these assets. Total goodwill across all acquisitions from 2014 to 2025 was only $133 million, while other competitors like Lennar logged over $3.5 billion in goodwill during the same period. The steady pace of acquisitions has supported the firm's consistent market share expansion across geographies and has helped to bolster its footprint in high-growth markets without draining excess cash.

We also think that D.R. Horton's recent investment in multifamily rental units has been fair. After the pandemic, institutional interest in the multifamily rental business skyrocketed as pent-up demand was unleashed. The firm responded by increasing multifamily rental inventory, which tripled segment revenue between 2022 and 2025. More recently, however, supply chain constraints, muted demand, and

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slower construction times have caused inventory volumes to rise. Increased rental vacancies and plateauing institutional interest mean that rental inventory will likely remain elevated until 2027. We think that management overallocated resources to the multifamily rental segment in 2022. We are also encouraged by management's swift response to demand shifts, which has stabilized rental revenue during a period of homebuilding weakness.

We believe D.R. Horton's shareholder distributions are appropriate. D.R. Horton is one of a handful of public homebuilders that pay dividends. The company has consistently paid dividends since fiscal 1997 and was one of the few homebuilders that maintained a dividend during the global financial crisis. Although the board has consistently authorized share-repurchase programs, historically, the company seldom repurchased shares. Between 2005 and 2016, D.R. Horton repurchased shares during only two fiscal years. However, we are encouraged by a recent uptick in buyback activity; during 2017-25, D.R. Horton spent more than $10 billion to repurchase over 102 million shares, reducing its weighted average diluted share count by around 18%. The recent shift toward controlling land through options rather than outright buying it should improve free cash flow generation. We believe that management will continue to utilize a significant portion of operating cash flow for share repurchases.

Investors may penalize the company for large impairment charges ($4.5 billion in fiscal 2006-09) and the issuance of convertible debt during the housing downturn. We note that the global financial crisis was an extreme downcycle, and many builders found themselves in a dire situation during that time. According to the US Census Bureau, the number of residential construction businesses fell from 98,067 in 2007 to 48,557 in 2012. During that period, D.R. Horton was one of the few homebuilders to maintain its geographic footprint and continue to pay a dividend.

Company founder Donald R. Horton died in May 2024. He had been the chair of the board since 1991; he also served as CEO from 1991 to 1998. The Horton family is the third-largest shareholder (approximately 9% of outstanding shares as of 2024). Paul Romanowski took over the CEO role from David Auld in October 2023. Auld had been CEO since 2014 and became executive chair in May 2024. Romanowski had been named co-COO in 2021 and before that was president of the Florida, Gulf Coast, and Mid-Atlantic regions.

## Analyst Notes Archive

**D.R. Horton Earnings: Management Expects Demand to Remain Steady but Full Recovery Will Take Time** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,21 Apr 2026

D.R. Horton saw strong second-quarter results, with revenue and margins in line with guidance despite elevated gas prices and weary consumer sentiment. Homes closed grew by 1% year over year, and orders rose 11%, though homebuilding gross margin fell 170 basis points to 20.1% on higher incentives. Why it matters: Shares rose about 6% on April 21 following positive management commentary as the

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market was relieved by the limited impact of recent geopolitical developments. Management expects a third-quarter homebuilding gross margin of 19.7%-20.2% on lower construction costs. The second quarter was 19.7%, excluding a warranty tailwind. Lower mortgage rates over the quarter helped bolster housing demand, but elevated sales incentives still weigh on profitability as affordability remains a key challenge. The average 30-year fixed mortgage rate dropped below 6% in February but has risen sharply in recent weeks. Home sales and new orders were solid, which we see as a positive sign for US housing demand. That said, we are uncertain if we have reached a trough for sales incentives, as elevated gas prices and economic uncertainty could sideline buyers in 2026. The bottom line: We are maintaining our $152 per share fair value estimate for no-moat D.R. Horton, as our longer-term outlook remains unchanged. We had been optimistic that mortgage rates would fall below 6% in 2026, but we now expect the average 30-year fixed rate to remain elevated in the near term as the war in Iran drives US inflationary fears. We caution investors that the homebuilding sector could potentially be materially impacted if the recent geopolitical turmoil does not ease soon. Having said this, D.R. Horton's affordable price point, its sheer scale, and best-in-class cycle times better position the firm to weather uncertainty.Coming up: Management lowered the high end of its 2026 revenue guidance to $33.5 billion-$34.5 billion and expects elevated incentives for the remainder of the year.

**D.R. Horton Earnings: Solid Results Despite Consumer Affordability Struggles** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,20 Jan 2026

D.R. Horton's fiscal 2026 first-quarter earnings saw diluted EPS fall 22% year over year to $2.03 with homes closed in the homebuilding segment down 7% to 17,818 and segment pretax income down 30%. Why it matters: Demand for entry level homes, Horton's main focus, remains strong, but affordability is making consumers cautious. Horton increased incentives during the quarter to help offset consumer weakness but still beat its quarterly guidance for total revenue and homes closed. The company's main incentive tool is the 30-year fixed interest rate offered by its captive finance arm. Incentives increased as the quarter progressed, but the cost of these incentives should decline if interest rates fall in calendar 2026, though guidance does not factor in that possibility. Incentives are expected to remain elevated for the rest of fiscal 2026, but management maintained its full-year guidance. It also said it does not sell many homes to institutional investors, so we don't consider guidance in jeopardy from the US possibly banning large institutions buying homes. The bottom line: We are not changing our $152 fair value estimate and no-moat rating for Horton. We are confident that with discounting help, and at least stable interest rates, the company can meet or exceed its full-year guidance. Management also said it is not seeing tariff-related cost increases for materials or supply shortages. The October announcement of a 12.5% increase to the quarterly dividend to $0.45 per share suggests that a housing recession is not close despite the elevated need for incentives. Horton repurchased 4.4 million of its shares in the quarter for $669.7 million and continues to guide for fiscal 2026 buybacks totaling about $2.5 billion. The company said it has not spoken with government officials regarding recent statements

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against homebuilders repurchasing stock.

**D.R. Horton Earnings: Affordable Price Points Drive New Order Growth Despite Housing Market Malaise** Brian Bernard, CFA, CPA,Sector Director,28 Oct 2025

Demand for new homes remains under pressure due to poor affordability and an uncertain economic backdrop. Even so, D.R. Horton's fiscal fourth-quarter new orders increased 5% year over year as elevated sales incentives spurred demand.Why it matters: US homebuilders remain aggressive with sales incentives to steady the sales pace in a lackluster demand environment. According to the National Association of Home Builders, 65% of surveyed builders offered sales incentives in October and 38% cut prices by 6%, on average. D.R. Horton boasts affordable price points; its average sale price for new orders was $365,000 during the fourth quarter, while the median sale price for existing homes in September was $415,200. Even so, Horton has resorted to offering greater sales incentives to sell more homes. Elevated sales incentives have placed downward pressure on home sales gross profit margin, which declined 180 basis points sequentially to 20.0%. However, litigation costs included in cost of goods sold were about 60 basis points above average.The bottom line: We think D.R. Horton is performing quite well despite a challenging operating environment. We project that 2026 will be the trough for the US housing market, and we anticipate that Horton's affordable price point will drive above-market growth next year. After rolling our valuation model forward one year, we've raised our fair value estimate for no-moat D.R. Horton by 3% to $152 per share, primarily due to the time value of money since our last update and a lower fiscal year-end share count than we had forecast.Coming up: While industry uncertainty remains high, D.R. Horton is targeting 86,000-88,000 home deliveries in fiscal 2026, up from 84,863 in fiscal 2025. Management also expects the firm to generate more than $3 billion in operating cash flow in fiscal 2026. D.R. Horton remains well positioned to continue to gain share and maintain its leading market position.

**D.R. Horton Earnings: Pricing Discipline Yields Margin Stability in Choppy Demand Environment** Brian Bernard, CFA, CPA,Sector Director,22 Jul 2025

Demand for new homes remains under pressure because of poor affordability and an uncertain economic backdrop. Even so, D.R. Horton's fiscal third-quarter financial results (ended June) were better than the market feared, sending the firm's stock price up approximately 15% on July 22. Why it matters: Considering the challenging operating environment for US homebuilders, many have become more aggressive with sales incentives and base price reductions to bolster demand. According to the National Association of Home Builders, 62% of surveyed homebuilders offered sales incentives in July, while 38% said they lowered base home prices by 5% on average. Like much of the industry, D.R. Horton is offering more sales incentives to lure buyers, but the firm has not become aggressive, in our view. Third-quarter new orders of 23,071 were roughly flat year over year, and the average selling price of new orders declined by 3.7%. The bottom line: We've raised our fair value estimate for no-moat D.R.

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# D.R. Horton Inc DHI ★★★ 28 Apr 2026 23:52, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 156.41 USD<br>28 Apr 2026 | 150.00 USD<br>28 Apr 2026 23:50, UTC | 1.04 | 44.35 USD Bil<br>28 Apr 2026 | None | Mid Value | High | Standard | 28 Apr 2026 05:00, UTC |

Horton 5% to $147 per share, primarily due to upward revisions to our near-term profit margin outlook and the time value of money. We see D.R. Horton's stock as fairly valued. We think the market has correctly identified that Horton's affordable price points should allow it to deliver above-market long-term growth. Big picture: D.R. Horton's third-quarter homes sales gross margin of 21.8% declined 220 basis points year over year and is well below the third-quarter 2022 peak of 30.1%. Nevertheless, Horton's average annual home sales gross margin during the five years preceding the pandemic (2015-19) was 20.3%. Homebuilder gross margins benefited from extraordinary pricing power in the early postpandemic years (2021-22), but such lofty margins are unlikely to return, in our view, especially once competition from the resale market normalizes across the US. In a healthier demand environment, we think D.R. Horton can consistently deliver home sales gross margins in a 22%-23% range.

**D.R. Horton Earnings: Full-Year Guidance Lowered After a Slow Start to the Spring Selling Season**
Brian Bernard, CFA, CPA,Sector Director,17 Apr 2025

D.R. Horton's fiscal second-quarter (ended March 31) home deliveries declined 15% year over year to 19,276, short of management's guidance of 20,000-20,500 delivered homes. Compared with the prior-year quarter, total revenue of $7.7 billion declined 15% and EPS of $2.58 fell 27%. Why it matters: The spring is a critical period for homebuilders, and so far, the demand environment has been lackluster as consumers are increasingly worried about the US economic outlook. D.R. Horton lowered its full-year home delivery guidance by approximately 5%, now expecting 85,000-87,000 delivered homes in fiscal 2025, compared with prior guidance of 90,000-92,000 homes. In fiscal 2024, Horton delivered 89,690 homes. While Horton has increased sales incentives to bolster home sales, it's not been as aggressive with incentives as Lennar. Indeed, D.R. Horton's second-quarter gross margin of 21.8% declined 140 basis points year over year. For comparison, Lennar's gross margin sank 310 basis points to 18.7%. The bottom line: We expect to lower our $143 per share fair value estimate for no-moat D.R. Horton by a low-single-digit percentage due to our outlook for fewer housing starts in 2025-26 and our tempered near-term profit margin outlook. Despite lowered 2025 guidance, Horton's stock traded higher on April 17. We think the market was pleased with the homebuilder's pricing discipline, which should result in full-year home sales gross margin near 21.5%, better than its prepandemic average, even with higher incentives. We see D.R. Horton's stock as modestly undervalued. We believe the firm's scale, affordable price point, and excellent balance sheet will help it outperform the industry in a challenging operating environment. Key stats: D.R. Horton started 20,000 homes during the second quarter, about 20% fewer than the year-ago quarter. That said, management said sales pace increased in March and April, and cancellation rates remain at the low end of the historical average.

**Amid Elevated Economic Uncertainty, We've Lowered Our Near-Term US Homebuilding Starts Forecast** Brian Bernard, CFA, CPA,Sector Director,16 Apr 2025

US global trade policy has weighed on both consumer and homebuilder confidence. The spring selling

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season is off to a slow start, and there is an above-average supply of new, unsold homes. Why it matters: We've been keeping a close eye on the number of completed unsold homes, which reached 121,000 units in February, above the 90,000-unit 50-year historical average but still below the housing crisis-era peak of 199,000 units in early 2008. We were hopeful that homebuilder sales incentives would continue to drive a strong sales pace, shrinking the supply of completed unsold homes, even as homebuilders modestly increased construction starts. However, considering Morningstar's more cautious near-term economic outlook, we expect homebuilders will start fewer homes to reduce unsold inventory. Big picture: Morningstar expects real GDP growth to shrink to 1.2% in 2025 and 0.8% in 2026; inflation to reignite to around 3% over the next two years; and the unemployment rate to reach 4.8% in 2026, up from 4.2% in March 2025. We assume the US narrowly avoids a recession. On the bright side, Morningstar projects the average 30-year fixed rate mortgage will decline to 5.5% in 2026 and 5% in 2027, down from approximately 6.6% currently. Lower mortgage rates should buoy demand for new homes, even in a slow economy. We now forecast housing starts to decline approximately 3.5% in 2025 and 1% in 2026. However, there is downside risk to our forecast if the US economy sinks into a recession. The bottom line: Even so, our longer-term outlook for new residential construction is mostly unchanged. We continue to see a need for more homes in the US, and we project annual housing starts will exceed 1.5 million units by 2028-29, amid healthier economic conditions. As such, we don't expect to change our fair value estimates materially for no-moat-rated D.R. Horton ($143), Lennar ($164), and Toll Brothers ($140). We see all three stocks as undervalued. MI

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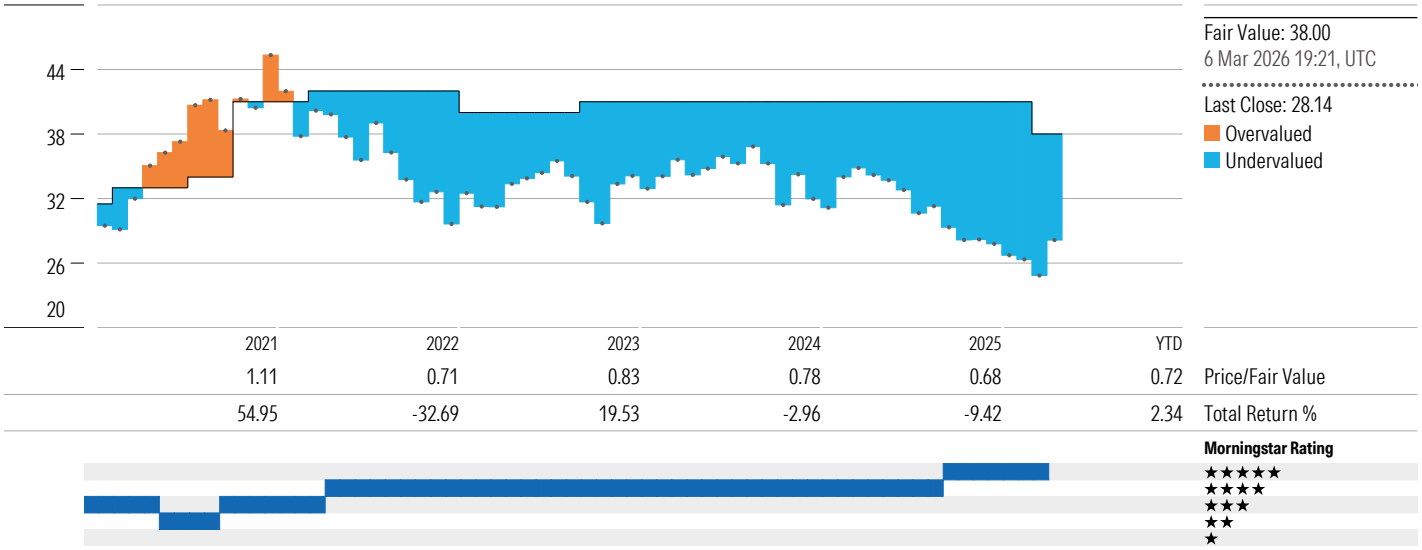
# D.R. Horton Inc DHI ★★★ 28 Apr 2026 23:52, UTC

## Competitors Price vs. Fair Value

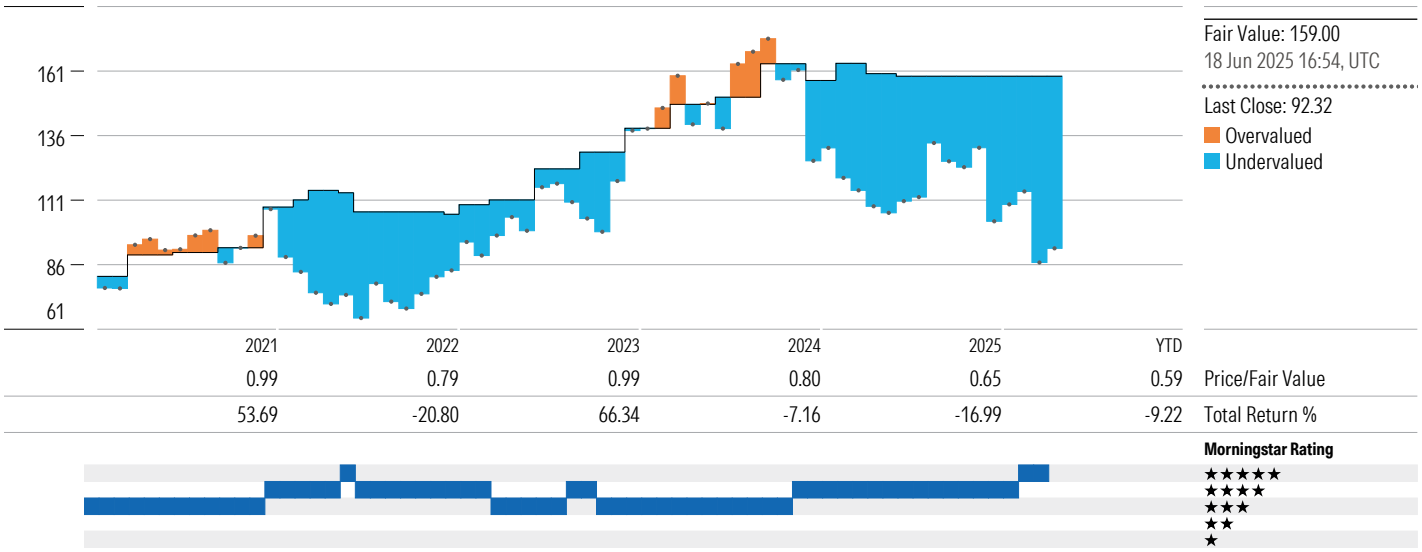
### Invitation Homes Inc INVH




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD |
|---|---|---|---|---|---|---|
| Price/Fair Value | 1.11 | 0.71 | 0.83 | 0.78 | 0.68 | 0.72 |
| Total Return % | 54.95 | -32.69 | 19.53 | -2.96 | -9.42 | 2.34 |

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 6 Mar 2026 19:21, UTC.

### Lennar Corp Class A LEN




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD |
|---|---|---|---|---|---|---|
| Price/Fair Value | 0.99 | 0.79 | 0.99 | 0.80 | 0.65 | 0.59 |
| Total Return % | 53.69 | -20.80 | 66.34 | -7.16 | -16.99 | -9.22 |

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 18 Jun 2025 16:54, UTC.

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## Morningstar Valuation Model Summary

| **Financials** as of 21 Apr 2026 | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 30 Sep | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
| Revenue (USD Mil) | 35,460 | 36,802 | 34,251 | 34,252 | 37,639 | 42,428 | 45,657 | 47,643 |
| Operating Income (USD Mil) | 6,453 | 6,388 | 4,953 | 4,061 | 4,483 | 5,803 | 6,730 | 7,549 |
| EBITDA (USD Mil) | 6,484 | 6,406 | 4,910 | 4,137 | 4,557 | 5,872 | 6,796 | 7,617 |
| Adjusted EBITDA (USD Mil) | 6,545 | 6,475 | 5,055 | 4,203 | 4,630 | 5,954 | 6,885 | 7,709 |
| Net Income (USD Mil) | 4,746 | 4,756 | 3,585 | 2,957 | 3,269 | 4,242 | 4,918 | 5,516 |
| Adjusted Net Income (USD Mil) | 4,746 | 4,756 | 3,585 | 2,957 | 3,269 | 4,242 | 4,918 | 5,516 |
| Free Cash Flow To The Firm (USD Mil) | 3,575 | 1,971 | 3,267 | 2,947 | 2,015 | 2,604 | 3,578 | 4,281 |
| Weighted Average Diluted Shares Outstanding (Mil) | 343 | 332 | 310 | 285 | 268 | 251 | 236 | 221 |
| Earnings Per Share (Diluted) (USD) | 13.82 | 14.34 | 11.57 | 10.36 | 12.18 | 16.87 | 20.85 | 24.92 |
| Adjusted Earnings Per Share (Diluted) (USD) | 13.82 | 14.34 | 11.57 | 10.36 | 12.18 | 16.87 | 20.85 | 24.92 |
| Dividends Per Share (USD) | 1.00 | 1.20 | 1.60 | 1.80 | 2.11 | 2.93 | 3.62 | 4.33 |

| **Margins & Returns** as of 21 Apr 2026 | | Actual | | | Forecast | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 3 Year Avg | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 5 Year Avg |
| Operating Margin % | 16.4 | 18.2 | 17.4 | 14.5 | 11.9 | 11.9 | 13.7 | 14.7 | 15.8 | 13.4 |
| EBITDA Margin % | — | 18.3 | 17.4 | 14.3 | 12.1 | 12.1 | 13.8 | 14.9 | 16.0 | — |
| Adjusted EBITDA Margin % | — | 18.5 | 17.6 | 14.8 | 12.3 | 12.3 | 14.0 | 15.1 | 16.2 | 14.0 |
| Net Margin % | 12.3 | 13.4 | 12.9 | 10.5 | 8.6 | 8.7 | 10.0 | 10.8 | 11.6 | 9.9 |
| Adjusted Net Margin % | 12.3 | 13.4 | 12.9 | 10.5 | 8.6 | 8.7 | 10.0 | 10.8 | 11.6 | 9.9 |
| Free Cash Flow To The Firm Margin % | 8.3 | 10.1 | 5.4 | 9.5 | 8.6 | 5.4 | 6.1 | 7.8 | 9.0 | 7.4 |

| **Growth & Ratios** as of 21 Apr 2026 | | Actual | | | Forecast | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 3 Year CAGR | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 5 Year CAGR |
| Revenue Growth % | 0.8 | 5.9 | 3.8 | -6.9 | 0.0 | 9.9 | 12.7 | 7.6 | 4.4 | 6.8 |
| Operating Income Growth % | -14.0 | -17.1 | -1.0 | -22.5 | -18.0 | 10.4 | 29.4 | 16.0 | 12.2 | 8.8 |
| EBITDA Growth % | -13.8 | -17.0 | -1.2 | -23.3 | -15.8 | 10.2 | 28.8 | 15.7 | 12.1 | 10.2 |
| Adjusted EBITDA Growth % | -13.7 | -16.8 | -1.1 | -21.9 | -16.9 | 10.2 | 28.6 | 15.6 | 12.0 | 8.8 |
| Earnings Per Share Growth % | -11.2 | -16.3 | 3.8 | -19.4 | -10.4 | 17.5 | 38.5 | 23.6 | 19.5 | 16.6 |
| Adjusted Earnings Per Share Growth % | -11.2 | -16.3 | 3.8 | -19.4 | -10.4 | 17.5 | 38.5 | 23.6 | 19.5 | 16.6 |

| **Valuation** as of 21 Apr 2026 | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
| Price/Earning | 7.8 | 13.3 | 14.6 | 15.1 | 12.8 | 9.3 | 7.5 | 6.3 |
| Price/Sales | 1.0 | 1.7 | 1.5 | 1.3 | 1.2 | 1.0 | 1.0 | 0.9 |
| Price/Book | 1.6 | 2.5 | 2.2 | 1.8 | 1.8 | 1.6 | 1.5 | 1.3 |
| Price/Cash Flow | — | — | — | — | — | — | — | — |
| EV/EBITDA | 6.0 | 10.0 | 10.8 | 11.7 | 10.6 | 8.2 | 7.1 | 6.4 |
| EV/EBIT | 6.1 | 10.1 | 11.0 | 12.1 | 10.9 | 8.5 | 7.3 | 6.5 |
| Dividend Yield % | 0.9 | 0.6 | 0.9 | 1.2 | 1.4 | 1.9 | 2.3 | 2.8 |
| Dividend Payout % | 7.2 | 8.4 | 13.8 | 17.4 | 17.4 | 17.4 | 17.4 | 17.4 |
| Free Cash Flow Yield % | — | — | — | — | — | — | — | — |

| **Operating Performance / Profitability** as of 21 Apr 2026 | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 30 Sep | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
| ROA % | 14.6 | 13.2 | 10.1 | 8.4 | 9.2 | 11.3 | 12.5 | 13.3 |
| ROE % | 20.5 | 18.4 | 14.5 | 12.0 | 13.4 | 17.0 | 19.0 | 20.1 |
| ROIC % | 16.1 | 14.9 | 10.9 | 8.9 | 9.6 | 11.8 | 13.0 | 14.0 |

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| **Financial Leverage** (Reporting Currency) | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 30 Sep | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
| Debt/Capital % | 12.4 | 8.8 | 10.7 | 11.5 | 11.5 | 12.5 | 12.8 | 13.1 |
| Assets/Equity | 1.4 | 1.4 | 1.4 | 1.4 | 1.5 | 1.5 | 1.5 | 1.5 |
| Net Debt/EBITDA | 0.2 | 0.2 | 0.6 | 0.8 | 1.1 | 1.0 | 1.0 | 0.9 |
| Total Debt/EBITDA | 0.8 | 0.9 | 1.2 | 1.4 | 1.3 | 1.1 | 1.0 | 0.9 |
| EBITDA/ Net Interest Expense | 84.1 | 191.0 | 73.0 | 53.5 | 56.9 | 57.8 | 54.1 | 51.3 |

| **Forecast Revisions** as of 28 Apr 2026 | 2026 | | 2027 | | 2028 | |
|---|---|---|---|---|---|---|
| **Prior data** as of 20 Jan 2026 | Current | Prior | Current | Prior | Current | Prior |
| Fair Value Estimate Change (Trading Currency) | 150.00 | 151.78 | — | — | — | — |
| Revenue (USD Mil) | 34,252 | 34,252 | 37,639 | 37,639 | 42,428 | 42,428 |
| Operating Income (USD Mil) | 4,061 | 4,450 | 4,483 | 4,891 | 5,803 | 6,852 |
| EBITDA (USD Mil) | 4,203 | 4,558 | 4,630 | 5,007 | 5,954 | 6,977 |
| Net Income (USD Mil) | 2,957 | 3,268 | 3,269 | 3,599 | 4,242 | 5,079 |
| Earnings Per Share (Diluted) (USD) | 10.36 | 11.44 | 12.18 | 13.43 | 16.87 | 20.39 |
| Adjusted Earnings Per Share (Diluted) (USD) | 10.36 | 11.44 | 12.18 | 13.43 | 16.87 | 20.39 |
| Dividends Per Share (USD) | 1.80 | 1.80 | 2.11 | 2.11 | 2.93 | 3.21 |

| **Key Valuation Drivers** as of 21 Apr 2026 | |
|---|---|
| Cost of Equity % | 10.3 |
| Pre-Tax Cost of Debt % | 5.4 |
| Weighted Average Cost of Capital % | 10.0 |
| Long-Run Tax Rate % | — |
| Stage II EBI Growth Rate % | 5.0 |
| Stage II Investment Rate % | 33.3 |
| Perpetuity Year | 11 |

Additional estimates and scenarios available for download at https://pitchbook.com/.

| **Discounted Cash Flow Valuation** as of 21 Apr 2026 | USD Mil |
|---|---|
| Present Value Stage I | 19,928 |
| Present Value Stage II | 1,364 |
| Present Value Stage III | 21,493 |
| **Total Firm Value** | **42,785** |
| Cash and Equivalents | 2,090 |
| Debt | 5,966 |
| Other Adjustments | 744 |
| **Equity Value** | **39,653** |
| Projected Diluted Shares | 277 |
| **Fair Value per Share** (USD) | **150.00** |

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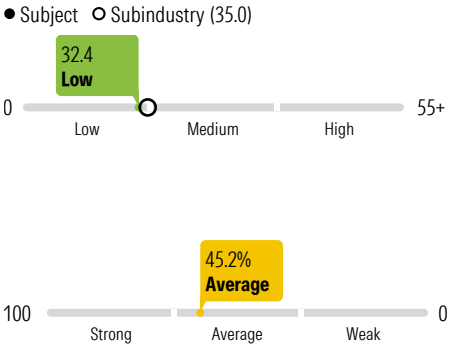
## ESG Risk Rating Breakdown

| | |
|---|---|
| **Exposure** | |
| Company Exposure[1] | 32.4 |
| – Manageable Risk | 29.8 |
| **Unmanageable Risk[2]** | **2.6** |
| **Management** | |
| Manageable Risk | 29.8 |
| – Managed Risk[3] | 13.5 |
| **Management Gap[4]** | **16.3** |
| **Overall Unmanaged Risk** | **18.9** |




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

## ESG Risk Rating

ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 45.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

## ESG Risk Rating Assessment[5]

ESG Risk Rating is of Apr 28, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Homebuilding. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

## Peer Analysis 28 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

| Company Name | Exposure | | | | Management | | | | ESG Risk Rating | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **D.R. Horton Inc** | 32.4 \| Low | 0 | | 55+ | 45.2 \| Average | 100 | | 0 | 18.9 \| Low | 0 | | 40+ |
| Lennar Corp | 33.5 \| Low | 0 | | 55+ | 27.3 \| Average | 100 | | 0 | 25.1 \| Medium | 0 | | 40+ |
| PulteGroup Inc | 32.3 \| Low | 0 | | 55+ | 44.3 \| Average | 100 | | 0 | 19.1 \| Low | 0 | | 40+ |
| Toll Brothers Inc | 32.4 \| Low | 0 | | 55+ | 41.1 \| Average | 100 | | 0 | 20.1 \| Medium | 0 | | 40+ |
| Invitation Homes Inc | 29.4 \| Low | 0 | | 55+ | 46.4 \| Average | 100 | | 0 | 16.0 \| Low | 0 | | 40+ |

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# Appendix

## Historical Morningstar Rating

**D.R. Horton Inc** DHI 27 Apr 2026 22:33, UTC

| | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
| — | — | — | — | — | — | — | — | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★★ | ★★★ | ★★★ | ★★ | ★★★ | ★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★ | ★★★ | ★★★ | ★★★ |

**Invitation Homes Inc** INVH 27 Apr 2026 22:50, UTC

| | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
| — | — | — | — | — | — | — | — | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★★ | ★★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★ | ★★★ | ★★★ | ★★ | ★★ | ★★ | ★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |

**Lennar Corp Class A** LEN 27 Apr 2026 22:33, UTC

| | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
| — | — | — | — | — | — | — | — | ★★★★★ | ★★★★★ | ★★★★ | ★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★ | ★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |

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# Research Methodology for Valuing Companies

## Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

## 1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

## 2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

### Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

### Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

### Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

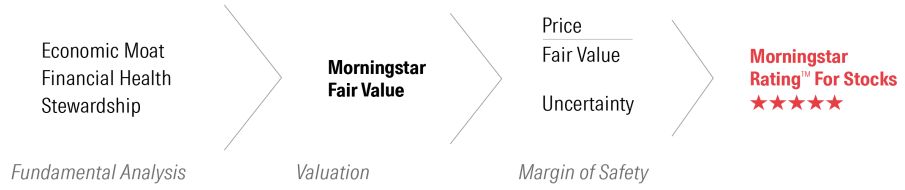
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

## 3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

**Morningstar Equity Research Star Rating Methodology**

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# Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

| | Margin of Safety | |
|---|---|---|
| Qualitative Analysis Uncertainty Ratings | ★★★★★Rating | ★Rating |
| Low | 20% Discount | 25% Premium |
| Medium | 30% Discount | 35% Premium |
| High | 40% Discount | 55% Premium |
| Very High | 50% Discount | 75% Premium |
| Extreme | 75% Discount | 300% Premium |

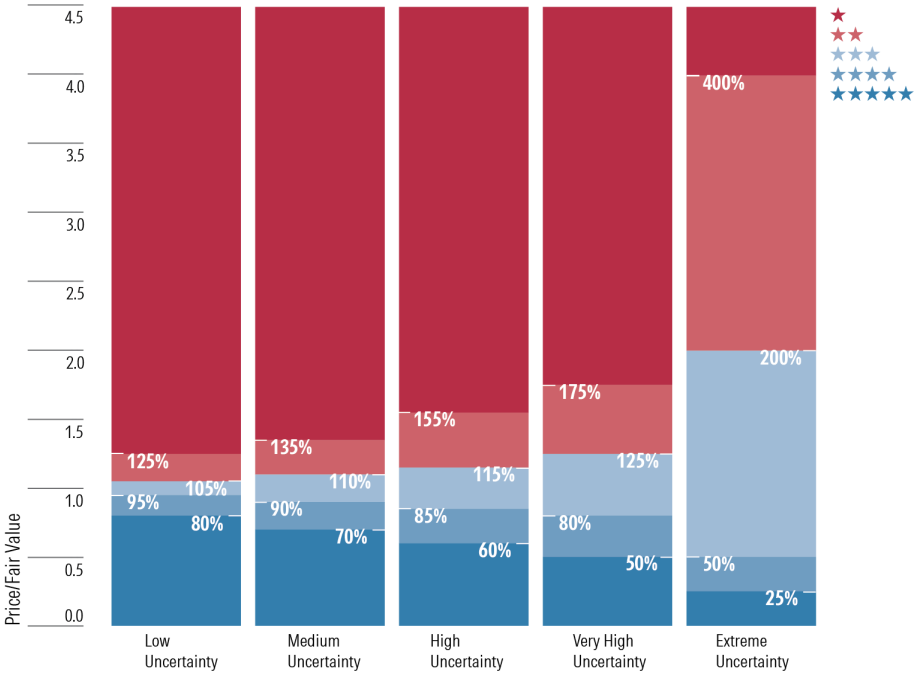
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

### 4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

**Morningstar Equity Research Star Rating Methodology**




### Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

### Other Definitions

**Last Price:** Price of the stock as of the close of the market of the last trading day before date of the report.

**Capital Allocation Rating:** Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

**Capital Allocation Rating:** Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

**Sustainalytics ESG Risk Rating Assessment:**The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

**Risk Warning**

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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